



STATEMENT OF ADVICE

Financial Planning Strategy

Prepared for:

Mr Liam Ward

Of

32 Macedon Avenue

CORIO VIC 3214

Prepared on:

3rd May 2016

By your Adviser:

Andrew Lord B Bus (Acc), Dip FS (Fin Plan)

Lakeside Financial

Level 1, 99 Bay Street

Brighton VIC 3186

Ph: 03 9596 5111 Fax: 03 9596 3222

Email: andrew.lord@lakesidefinancial.com.au

Authorised Representative # 324798

Pareto Group Pty Ltd

ABN 11 155 278 078 Australian Financial Services Licensee No. 418700

1/99 Bay Street, Brighton, Vic, 3186

Ph: 03 9596 5111 Fax: 03 9596 3222

What this document is about

This Statement of Advice (or SoA) is an important document.

- It provides you with information about our advice so you can make a decision about implementing the advice.
- It should be read in conjunction with other documents such as Product Disclosure Statements and our Financial Services Guide.

What to do after reading this Statement of Advice

Please contact us.

- If you have any questions.
- If we have omitted, overlooked or incorrectly understood any of your relevant circumstances.
- When you are ready to implement the recommendations.
- Or, if you decide you want to do something else and need our advice or assistance.

3/05/2016

Mr Liam Ward
32 Macedon Avenue
Corio VIC 3214

Dear Liam,

I am pleased to enclose your Statement of Advice (SoA).

It is an important document that you should read and understand before making a decision to proceed further.

We have based the strategies and recommendations in this document on our understanding of your current personal and financial position. If any of this information does not reflect any part of your current position, goals and objectives please advise us immediately and we will make the necessary changes.

The SoA sets out our recommended strategies to address your needs, together with a recommended course of action to implement these strategies.

When you are ready to proceed, we would be very happy to help you with the implementation of the advice, including the completion and lodgement of application forms and other documents.

Please note, our recommendations in this Statement of Advice are valid for 30 days from the date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation again before you take any action.

Once implemented, we should review your situation on a regular basis to ensure we make the most of any changes that may impact on the strategies I have recommended for you.

Yours sincerely,

Andrew Lord
B Bus (Acc), Dip FS (Fin Plan)
Authorised Representative No 324798 of
Pareto Group Pty Ltd

Table of Contents

STATEMENT OF ADVICE	1
Financial Planning Strategy	1
Purpose of this document.....	4
Timeframe for our advice	4
Check for accuracy	4
Limitations of our advice	4
Product selection	5
Introduction	6
The Scope of Our Advice	6
Our Investment Recommendations.....	6
Your Adviser	7
The Planning Process	7
Executive Summary	8
Your Goals and Objectives	8
Personal Information.....	9
Personal Details	9
Employment Details.....	9
Estate Planning.....	9
<i>Current Assets and Liabilities</i>	10
Your Investor Risk Profile	11
Strategy Recommendation.....	12
Tax Rates	12
Tax rates 2015-16.....	12
Tax on superannuation earnings, contributions and income streams	13
Superannuation Contribution Limits	14
<i>Income and Expenses</i>	15
Superannuation Funds	16
<u>Defined Benefit Projections</u>	17
<u>Superannuation Accumulation Funds</u>	17
Current Superannuation Structure	19
<u>Current Superannuation Portfolio Profile Compared to Benchmark</u>	19
<u>Proposed Total Superannuation Portfolio Profile</u>	20
Ongoing Fee Comparison.....	21
Replacement of an Existing Product	22
Your Finances	23
Superannuation Structures & Associated Retirement Projections	24
What is paid to your adviser	25
Plan Fee.....	25
Disclosure Statement	26
Appendix A – Assumptions	29
Appendix B – Retirement Capital Projections	30

Purpose of this document

The following Statement of Advice (SoA) is an outline of the financial plan discussed with your financial planner. It details the recommendations needed to execute your plan and achieve your financial objectives.

Timeframe for our advice

Our recommendations in this SoA are valid for 30 days from the preparation date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation before taking any action.

Check for accuracy

This SoA is based on the information you provided. Please read the document carefully, checking that your details are correct and that no important facts are missing. If anything is wrong or missing, please let us know immediately—otherwise our advice may be based on incorrect information and may not be right for you.

Limitations of our advice

We cannot give advice on:

- Trust or business structures
- Taxation
- General insurance
- Direct share or property purchases
- Legal matters

Please don't consider any of this document's recommendations to be advice in any of these areas. If you need advice in these areas, please see a qualified professional in that field.

Assumptions we've made

When giving advice, we make certain assumptions to demonstrate how the advice could affect your financial situation. We've based our advice on economic information and legislation that was current when we prepared your SoA.

All dollar amounts in this SoA are in today's dollars, even when we mention future income, expenses, investment amounts and so on. Naturally we can't predict what future inflation rates will be, so we can only make assumptions based on past trends. Also, all amounts listed in this document are "p.a." (per annum) unless otherwise stated or implied.

Product selection

We are committed to giving you the best products for your situation. When preparing your advice we considered and recommended only those products on Pareto Group's "Approved Product List". This list was compiled by a dedicated Investment Review Committee, which regularly reviews it. To see the complete product list, please ask us.

Introduction

You are entitled to receive a Statement of Advice (SoA) whenever we provide you with any personal financial advice. Personal financial advice is advice that takes into account any one or more of your objectives, financial situation and needs.

This SoA is a record of the personal financial advice provided to you and includes information on the basis on which this advice is given, information about remuneration including fees, any other benefits and any interests, relationships or associations which might influence the making of the advice.

If this advice includes a recommendation to you to acquire a particular financial product (other than securities) or an offer to issue or arrange the issue of a financial product to you, we will also provide you with a Product Disclosure Statement containing information about the particular product to help you make an informed decision about that product.

The Scope of Our Advice

In this statement of advice, the main focus is on:

- Superannuation Structure and Planning
- Tax Effective Superannuation Contributions
- Cash Flow management
- Retirement Planning
- Debt Reduction / Loan Structure

This advice is based on information we have obtained from you. You must ensure the information is accurate and complete. Otherwise, this advice may be based on inaccurate or incomplete information relating to your investment objectives, financial situation or needs. You must therefore assess whether the advice is appropriate, in the light of your own individual investment objectives, financial situation or needs.

You recognise in each of the areas of advice we provide, we only provide advice to the extent we are able to under the relevant legislation.

Our Investment Recommendations

In respect of the specific investments we recommend as part of our advice you are entitled to a 14 day cooling off period for your initial investment. A cooling off period generally means a period of time after which you have provided your capital for investment, where you can change your mind and request for your capital to be returned to you.

Each fund manager or investment provider may implement the cooling off period in a slightly different manner. Therefore we recommend you refer to the Product Disclosure Statement for each of the recommended investments in order to understand the operation of each provider's cooling off period.

Your Adviser

At any time should you have any questions or concerns, in the first instance please contact your adviser Andrew Lord on (03) 9596 5111.

Andrew Lord is authorised to represent Pareto Group Pty Ltd. Should you wish to discuss matters of concern about your adviser or the advice you have received please contact us on 03 9596 5111.

The Planning Process

Liam, *Financial Planning* is a process to help you reach both your Personal and Financial Goals and Objectives. In order to achieve this we jointly need to undertake a number of tasks, including:

- ✓ Confirm your personal goals and lifestyle objectives;
- ✓ Quantify the resources required to meet your goals and objectives;
- ✓ Identify any gaps in your current plans and your stated goals and objectives;
- ✓ Develop suitable strategies to address any differences that may exist bearing in mind your attitude to investing and your risk profile;
- ✓ Conduct a regular review of the strategies we put into effect to ensure they keep pace with your changing needs, legislative changes and the investment environment.

Executive Summary

In this plan our advice considers the following areas of your financial circumstances.

Your Goals and Objectives

After our discussions I have listed below what we agreed were your key goals and objectives. The points listed below form the basis of the plan I have prepared, and therefore you should read them carefully now to ensure that we have an accurate foundation on which to proceed. If there are any modifications required, please advise us prior to the commencement of your financial plan.

Your goals and objectives are to:

- Review and understand your existing superannuation structure.
- Explore ways in which to maximise your retirement nest egg as you move into the final phase of your working life.
- Ensure you have sufficient retirement capital to generate income in retirement that is sufficient for your living needs.

Personal Information

During our discussions and from the information you have provided, your Personal Details can be summarised as follows:

Personal Details

Title	Mr
First Name	Liam
Surname	Ward
Gender	M
Date of Birth	21/07/1961
Age Last Birthday	54
Marital Status	Married

Employment Details

Employment Status	Full Time - Employee
Occupation	Senior Lecturer
Employer	RMIT University

Estate Planning

Do you have a Current Will?	Yes
Date last reviewed?	2004
Do you have Current Powers of Attorney?	No
Do you have a Testamentary Trust?	No

Current Assets and Liabilities

The following is an Asset and Liabilities summary that estimates your current Net Worth position based on the information provided.

ASSETS

Lifestyle Assets	Value
Principal Residence	\$270,000
Motor Vehicles	\$25,000
Home Contents	\$50,000
Total Lifestyle Assets	\$345,000

Investment Assets	Value
Property	\$250,000
Cash	\$67,000
Total Lifestyle Assets	\$317,000

Superannuation Assets	
Unisuper – Defined Benefit Component	\$488,000
Unisuper – Accumulation Component	\$89,000
AMP – Retirement Savings Account	12,600
Total Superannuation Assets	\$589,600

Total ASSETS	\$1,251,600
---------------------	--------------------

LIABILITIES

Residential Property Mortgage	\$75,000
Investment Property Mortgage	\$244,000
Total Liabilities	\$319,000

NET WORTH	\$932,600
------------------	------------------

Notes: As the above information has been used in preparing our recommendations please advise us of any errors or omissions.

The 'Total' column indicates the value of assets and liabilities which are owned by you. This report does not show the value of any portion of the asset or liability that may be owned by a third party or associated entity.

Your Investor Risk Profile

The following section of your plan helps to ensure that I clearly understand your attitude to investment selection. Additionally, investments contain various characteristics, which may or may not suit each individual investor.

Based upon your responses to the Risk Profile Questionnaire, it determined that you may be classified as a Moderately Conservative investor.

Typically, a **Moderately Conservative** investor has the following characteristics:

- The Moderately Conservative investor seeks a diversified portfolio with a balance of defensive and growth assets.
- This requires an investment time horizon of between 3 – 5 years.
- The portfolio would be include a high portion of income bearing securities such as cash and fixed interest, with a small exposure to equities and property providing appreciation potential.

A Moderately Conservative investor will typically diversify their investment in the following manner:

Australian Shares	24%
International Shares	14%
Fixed Interest	38%
Property	10%
Cash	14%

Our research indicates that long term returns will be best achieved through a diversified portfolio covering all major asset classes (i.e. Cash, Fixed Interest, Shares and Property).

By covering all primary investment markets the risks and volatility of your investments can be managed to levels consistent with your investment profile, whilst maintaining the potential for long term growth. Any recommendation will be based on your risk tolerance, while in balance with your goals and objectives.

Strategy Recommendation

Tax Rates

When assessing the most tax effective environment for your investment assets, we need to consider the tax that would be payable on any income that these investments will generate. The current tax rates are as follows:

Income Earned in your personal name

Tax rates 2015-16

<i>Taxable income</i>	<i>Tax on this income</i>
\$1 – \$18,200	Nil
\$18,201 – \$37,000	19c for each \$1 over \$18,200
\$37,001 – \$80,000	\$3,572 plus 32.5c for each \$1 over \$37,000
\$80,001 – \$180,000	\$17,547 plus 37c for each \$1 over \$80,000
\$180,001 and over	\$54,547 plus 45c for each \$1 over \$180,000

* The above rates **do not** include the Medicare levy of 2.0%.

Income Earned in the superannuation environment

Superannuation in 'accumulation' phase - Tax rate = 15%

Superannuation in 'pension' phase - Tax rate = 0%

Tax on superannuation earnings, contributions and income streams

	Non-superannuation	Super accumulation phase	Super pension phase	
			Age 55-59	After age 60
Salary/pension income	Marginal tax rate (max 45% + medicare)	n/a	Marginal tax rate (less 15% rebate) + medicare	Tax free
Super contributions (SGC, salary sacrifice)	n/a	15%	n/a	n/a
Investment income	Marginal tax rate (max 45% + medicare)	Maximum 15%	Tax free	Tax free
Capital gains	Marginal tax rate (50% discount if held for more than 12 months)	10% (15% if asset held less than 12 months)	Tax free	Tax free

Superannuation Contribution Limits

Table 1- Concessional contribution limits

Concessional contributions include employer and self-employed contributions such as salary sacrifice, superannuation guarantee and personal concessional contributions.

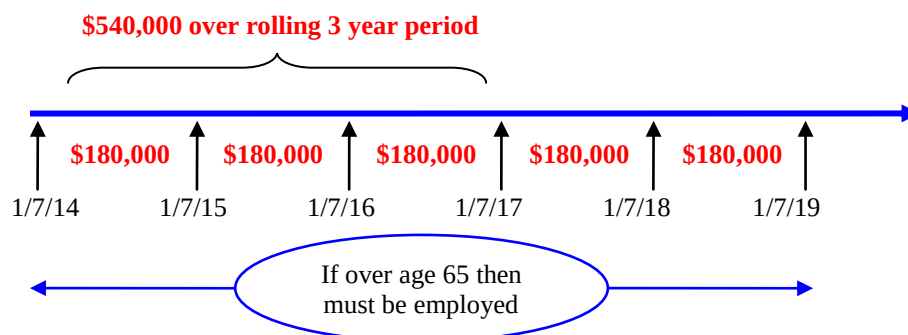
Date	Limit (per annum)				
	To Age 49	Age 50-59	Age 60-65	Age 65-74*	Age 75 and over
From 1 July 2012	\$25,000	\$25,000	\$25,000	\$25,000	SGC only
From 1 July 2013	\$25,000	\$25,000	\$35,000	\$35,000	SGC only
From 1 July 2014	\$30,000	\$35,000	\$35,000	\$35,000	SGC only

*Must be employed at least 40 hours during any consecutive 30 day period in the financial year you would like to make the contributions.

Concessional Contributions were previously known as Deductible Contributions (e.g. Salary Sacrifice).

Table 2 - Non-concessional contribution limits

Date	Limit on after-tax contributions	Eligibility Requirements		
		Under age 65	Age 65 to 74	Age 75 and over
From 1 July 2007	\$150,000 p.a.	May bring forward two years of contributions to make a \$450,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2014	\$180,000 p.a.	May bring forward two years of contributions to make a \$540,000 contribution in one financial year	Must be employed	Cannot contribute



Income and Expenses

The following is a summary of your Income and Expenses that estimates your overall Cash Flow position based on the information provided.

Estimated Tax Liability

Income Source	Amount Received	Deductions	Taxable Income	Tax
Gross Income (salary)	\$107,000			
Rental Income	\$13,200			
Deductions				
Interest on Investment Loan		\$12,000		
TAXABLE INCOME			\$108,200	
Tax Payable before Rebates/Credits				\$27,981
Low Income Tax Offset				\$0
Total Rebates & Credits				\$0
TAX PAYABLE after REBATES & CREDITS				\$27,981
Medicare Levy				\$2,164
NET TAX				\$30,145

Estimated Cash Flow

Adequate cash flow to meet living expenses is fundamental to achieving your financial objectives. Based on the estimated income from your recommended portfolio, other income and expenses (inclusive of GST) and estimated tax, we estimate your cash flow to be as follows.

	Total
Income	
Income Received	\$120,200
Sub Total	\$120,200
Less Net Income Tax	\$30,145
Less Interest on Investment Loan	\$12,000
Net Income	\$78,055
Less Budgeted Expenditure	\$66,055
Income Surplus (\$1,000 p.m.)	\$12,000

NB:

The budgeted expenditure has been calculated based on your advice that you currently have an approximate monthly cash flow surplus of \$1,000.

Please highlight any discrepancies that you think will have a material effect on your cash flow surplus.

Superannuation Funds

Liam, you are a member of UniSuper. This superannuation fund is a defined benefit fund, where the benefit is a lump sum based on:

- 5-year Benefit Salary
- Benefit Service
- Lump Sum Factor
- Average Service Fraction
- Contribution rate

The lump sum formula = 5-year Benefit Salary x Benefit Service x Lump Sum Factor x Average Service Fraction x Contribution rate

- At present your 5 year Benefit Salary is: **\$102,000**
- Your Benefit service is: **21.1**
- Your Lump Sum factor is: **20.8%**
- Your Average Service Fraction is: **100%**
- Your Average Contribution Factor: **0.99**

Note, to achieve the maximum Average Contribution factor of 1.00, the member must continuously contribute at 7% p.a. of after-tax salary (i.e. 8.25% p.a. salary sacrificed) to your UniSuper fund. Liam, by inputting the variables, we can work out the value of your defined benefit fund.

On top of this calculation your defined benefit value also incorporates two lump sum distributions totalling approximately \$45,000 as you were a member of the fund prior to January 2002. Therefore, using the formula as given to us and adding in this lump sum, the current defined benefit component of your UniSuper fund is valued at approximately \$488,000.

As mentioned above, your contribution rate also affects your final lump sum amount on retirement. At present your contribution rate is as follows:

- 7% p.a. of after-tax salary

Recommendations:

Liam

- While you are a member of RMIT University you must contribute and be a member of the UniSuper superannuation fund.
- You are currently not salary sacrificing your superannuation contributions, as you are contributing 7% into your fund with after tax money. Change your contributions by salary sacrificing 8.25% which will continue to put 7% into your fund.

Benefits:

- Liam, by salary sacrificing your superannuation contributions, the amount going into your Uni Super fund will be the same at 7%. **However, we estimate that your take home pay should increase by approximately \$2,105 p.a.** based on a salary of \$107,000.
- Superannuation contributions are concessional taxed at a maximum of 15% as opposed to your marginal tax rate of up to 39% (inc Medicare Levy).
- You will also receive a reduction in Taxable Income for the contributions that you make.

Defined Benefit Projections

Based on the defined benefit formula, we anticipate your defined benefit balance may be:

Retirement Age	Defined Benefit Balance
60	\$659,394
65	\$765,416

Superannuation Accumulation Funds

Liam, other than the Uni Super defined benefit, you also currently have the following superannuation funds:

- **UniSuper – accumulation portion**
- **AMP – Retirement Savings Account**

The UniSuper fund currently has a withdrawal value of approximately \$89,000 and the AMP fund approximately \$12,600.

Liam, you have a number of options in terms of how your superannuation monies are structured:

Option 1

- Maintain your existing structure

Option 2

- Rollover AMP super into your existing UniSuper fund.

Option 3

- Roll over existing AMP and UniSuper funds into a wholesale superannuation platform with Colonial First State.
- The portfolio is to be invested according to a sector specific asset allocation that is in line with your investor risk profile.

Recommendation:

- Liam, consider rolling over the entire balance of your AMP super and UniSuper funds (withdrawable component) into the recommended wholesale platform invested in a “Moderately Conservative” portfolio.
- All future contributions will be directed into the recommended fund.

Benefits:

- A sector specific asset allocation strategy takes advantage of expert fund managers who specialise in that single sector.
- You will have access to an anti-detriment payment. This is where the contributions tax you pay on monies contributed may be refunded on the death of a member.
- You will have access to a wide range of investment options with access to more than one specialist manager within each asset class.
- The recommended fund platform has a wide range of investment options with access to more than one specialist manager within each asset class.
- Your benefits will be invested within a range of assets and asset classes giving you a well-diversified investment portfolio that aims to generate higher levels of growth over the longer term 7+ years.
- You will gain ongoing advice from us as your financial adviser as we will have full access to information relating to the recommended superannuation fund. This will enable us to provide thorough and timely advice to you.

Current Superannuation Structure

Liam, the current estimated asset allocation of your (non defined benefit) superannuation portfolio is as follows:

Asset Class	UniSuper (\$89,000)	AMP (\$12,600)	Total (\$101,600)
Australian Shares	36%	0%	32%
International Shares	20%	0%	17%
Property	9%	0%	8%
Fixed Interest	15%	0%	13%
Cash	15%	100%	26%
Other	5%	0%	4%
	100.00%	100.00%	100.00%

Current Superannuation Portfolio Profile Compared to Benchmark

Asset Class	Current Portfolio	Benchmark Profile for Moderately Conservative	Deviation
Australian Shares	32%	24%	-8%
International Shares	17%	14%	-3%
Property	8%	10%	+2%
Fixed Interest	13%	38%	+25%
Cash	26%	14%	-12%
Other	4%	0%	-4%

Proposed Accumulation Superannuation Portfolio Profile

\$101,600 invested in the Colonial First State Wholesale platform would have a specifically modelled portfolio directly in line with your 'Moderately Conservative' Investor Risk Profile. The 'Moderately Conservative' portfolio has the following asset allocation:

Moderately Conservative:

Asset Class	% of Portfolio	Value
Australian Shares	24%	\$24,384
International Shares	14%	\$14,224
Property	10%	\$10,160
Fixed Interest	38%	\$38,608
Cash	14%	\$14,224
	100.00%	\$101,600

The specific underlying funds that make up this portfolio would be:

Asset Class	% of Portfolio	Value
BT Wholesale Core Australian Share	8.00%	\$8,128
Fidelity Wholesale Australian Equities	8.00%	\$8,128
Perennial Wholesale Value Australian Share	8.00%	\$8,128
BT Core Wholesale Global Share Fund	7.00%	\$7,112
MFS Wholesale Global Equity	7.00%	\$7,112
BT Wholesale Property Investment	5.00%	\$5,080
CFS WS Global Property Securities	5.00%	\$5,080
FirstChoice Wholesale Fixed Interest	38.00%	\$38,608
CFS Wholesale Cash	14.00%	\$14,224
	100%	\$101,600

Benefits:

- Your funds will be invested in line with your Investor Risk Profile
- The Colonial Platform offers flexibility in terms of offering access to in excess of 100 underlying funds that can be incorporated into your portfolio
- The underlying funds are actively managed by a diverse range of fund managers
- You will receive ongoing advice and reporting

Downside:

- The overall fees are higher than an industry fund such as UniSuper in light of the active management and ongoing advice

Colonial FirstChoice Management Fee

Colonial FirstChoice charges a Management Expense Ratio to cover their administration costs and the associated costs of managing your funds and the adviser's fee. Based on your current portfolio value, we have provided an estimation of the costs you will pay.

Liam

Colonial FirstState FirstChoice Wholesale Personal Super	MER %	Amount invested ① \$	Estimated fee \$
BT Wholesale Core Australian Share	1.06%	\$8,128	\$86
Fidelity Wholesale Australian Equities	1.10%	\$8,128	\$89
Perennial Wholesale Value Australian Share	1.05%	\$8,128	\$85
BT Core Wholesale Global Share Fund	1.38%	\$7,112	\$98
MFS Wholesale Global Equity	1.29%	\$7,112	\$92
BT Wholesale Property Investment	1.11%	\$5,080	\$56
CFS WS Global Property Securities	1.05%	\$5,080	\$53
FirstChoice Wholesale Fixed Interest	0.81%	\$38,608	\$313
CFS Wholesale Cash	0.43%	\$14,224	\$61
Total ongoing fees ①	0.92%	\$101,600	\$934

- ① Colonial FirstChoice's Management Fee is calculated on the value of your total portfolio. As such we have used your current portfolio to estimate your annual ongoing fee.

Please note that there is an additional adviser service fee of 0.60% that is paid by you.

Ongoing Fee Comparison

- We have provided a comparison regarding fees, on the difference between investing in a recommended wholesale pension fund or your existing accumulation funds.
- **NB:** For the purpose of the exercise, we have assumed the full amount of \$101,600 is invested in a '**Moderately Conservative**' portfolio. Please see the table on the following page regarding these two options.

Replacement of an Existing Product

Type of Fee or Cost	AMP	UniSuper	Colonial WS Super Fund (proposed structure)
Contribution/Entry fee – this is the fee for initial and subsequent contributions.	Nil	Nil	Nil
Withdrawal/Exit Fee – this is the fee for each withdrawal you make	Nil	Nil	Nil
Switching Fee – fee charged for switching between investment options in the super fund.	Nil	Nil	Nil
Administration Costs – are the fees and costs that cover the operation of the fund. They include admin, member and other fees charged by the product issuer	Nil	\$221 p.a.	Nil
Adviser Service Fee – additional fee paid to financial adviser	Nil	Nil	0.60% p.a. or \$609.60 p.a.
Investment Costs – are the fees and costs the product issuer charge for investing the assets. These include fees paid to external fund mgrs.	1.59% or \$1,615.44 p.a.	0.52% or \$528.32 p.a.	0.92% or \$934.72 p.a.
Annual average cost on Total \$101,600 investment	\$1,615.44 p.a.	\$749.32 p.a.	\$1,544.32 p.a.

The investment cost will vary depending on which fund you are invested in, the assets it invests into and how actively they manage their portfolios, amongst other things. Typically these costs should not be compared directly.

Outcomes Post Recommendation:

- You will gain access to a diversified portfolio of funds that matches your investor risk profile and investment objectives.

The investments we have selected for you mean that you are better diversified and your asset allocation is more in line with your investor risk profile. On our analysis this should position you for better long term returns.

Your Finances

Liam, you currently have a residential property which is valued at approximately \$270,000 with an outstanding debt of approximately \$75,000.

Recommendations:

- Consider consolidating the \$67,000 in your various cash accounts to establish an offset account that is linked to the outstanding debt (est. \$75,000) against your residential property.

Benefits:

- The offset account is a transaction account linked to your home loan which is offset daily against your loan balance and would see you pay interest on only \$8,000 as opposed to \$75,000.
- The offset account can also be used as a transaction account so the funds are easily accessible. Jacob Duscher from Lakeside's Lending Division will assist in the creation of an offset facility.
- The calculation below demonstrates the benefit of moving these funds into an offset account:

Current Situation

Interest cost on \$67,000 of non-deductible debt (at 5% interest rate) = \$3,350

Given your current marginal tax rate is 39% (inc. medicare levy), the following shows what the 'real' cost is:

Income	\$5,492
Less tax	<u>(\$2,142)</u>
Net income to pay interest cost	\$3,350

In other words, you must earn **\$5,492** in order to meet the \$3,350 interest expense.

By placing the \$67,000 in your offset account, you will effectively be saving **\$5,492 p.a.**

Superannuation Structures & Associated Retirement Projections

We have used the following assumptions to project your total superannuation balance at retirement:

- Beginning accumulation balance of \$101,600
- Annual gross contributions to accumulation fund of 3%
- Earnings rate of 5% p.a. on accumulation funds

Based on these assumptions, we anticipate your total superannuation balance at retirement may be projected as follows:

Retirement Age	Defined Benefit Balance	Accumulation Balance	Total Superannuation Balance
60	\$659,394	\$150,059	\$809,059
65	\$765,416	\$216,191	\$981,607

A copy of the calculations used to derive the accumulation balances above is contained in the appendix at the rear of this Statement of Advice.

Based on the retirement ages of 60 and 65, the following returns would need to be achieved in order for you to satisfy specific annual retirement income without eroding any capital:

Retirement Age	Projected Retirement Capital	Retirement Income Required	Required Annual Return on Capital
60	\$809,059	\$50,000	6.18%
		\$60,000	7.42%
65	\$981,607	\$50,000	5.09%
		\$60,000	6.11%

What is paid to your adviser

Plan Fee

You have agreed to a Plan Fee of \$3,000 (plus GST), which can be paid from superannuation monies, or invoiced to you.

Upfront and Ongoing Fee Disclosure

An Ongoing fee is the way we charge for the ongoing service that we provide. The ongoing fee is to be agreed to prior to any investments within the superannuation environment. If at any time you wish to discuss this you can do so.

I am an authorised representative of Pareto Group Pty Ltd (ABN 11 155 278 078), which holds an Australian Financial Services Licence (AFSL #418700).

Disclosure Statement

To help you understand the full benefits, details and risks of our recommended products, please read the Product Disclosure Statements that we will provide you.

Please let us know if you have any questions.

Cooling-off periods

After investing in a financial product, you have a “cooling-off” period in which to change your mind if you don’t think the product meets your needs. The cooling-off period usually starts when you’re told the product has been set up. The length of the period varies with each product.

Each Product Disclosure Statement explains your cooling-off rights.

If you wish to cancel a product, please tell us in writing so we can contact the product issuer within the time restrictions.

No guarantee

The investments we recommend for you must be appropriate for you. However, we don’t guarantee they’re the best available or that they’ll perform in a particular way. Product performance depends on the features and risks described in the Product Disclosure Statements given to you.

Please take the time to read the PDS and understand the products we have recommended. If you have any questions, please contact us.

Tax

There will be tax implications if you act on this advice. We recommend you ask a tax professional to assess the impact on your short and long-term financial positions.

Are My Product Recommendations Restricted?

Non Superannuation Products

Yes, when making non superannuation product recommendations I can only choose products from our Approved Product List (APL). This list is compiled by a dedicated Investment Committee, made up of Research Manager, Directors and Representatives who carefully analyse investment products, prior to including any product on the APL. The Committee utilises leading industry research houses to assist with their analysis.

The APL is regularly reviewed to ensure that all funds, managers and investment companies continue to meet our ongoing stringent requirements.

Superannuation Products

Yes, when making superannuation product recommendations I can only choose products from our Approved Product List (APL). However, if you have a superannuation product that is not on our APL, I am still able to make recommendations in relation to that fund providing I have conducted the necessary research and have a thorough knowledge of the fund.

What is My Responsibility to You?

I am responsible for providing you a 'clear, concise & an effective' method of communicating my recommendations to you. The recommendations are based on your goals and objectives, personal and financial situations, and other information collected from you. The recommendations are appropriate for your needs and current situation.

As the SoA is specifically prepared for you and based on your situation, I do not take any responsibility for any third party persons acting on all or on a part of any advice or recommendations made in this SoA.

Do I Guarantee the Investments I have recommended?

No. By law, the investments I have recommended must be appropriate to you, however, I do not guarantee that the recommended investments are the best for you or that they will perform in a certain way.

Your Financial Plan

In preparing this plan we have taken into account your specific goals and objectives, and have designed an appropriate strategy that aims to accomplish these.

It is important to appreciate that we live in an ever changing world. Accordingly, it is probable that, overtime, the basis of our calculations (inflation rates, investment rates etc) will change, as will your own requirements and expectations. It is therefore recommended you review your plan on a regular basis to ensure you are still on track to achieve investment objectives.

It is essential to have your investment portfolio reviewed to ensure that the investments are working to their maximum potential and any changes to the investment markets, taxation etc. are promptly and correctly responded to.

Next steps

How to get started

To implement our recommendations in this plan, please do the following:

- Make sure you read this Statement of Advice and Product Disclosure Statements
- Contact us if you have any questions
- Tell us immediately if any information is incorrect
- Complete the application forms in the Product Disclosure Statements
- Sign and date the Authority to Proceed
- Return the forms to us
- Retain a copy for your records

Finally

Please note, as with any investments, their future value may fluctuate, particular rates of return cannot be guaranteed and you may not get back what you originally invested. We have provided a brief summary of the managed investment products recommended, however, you will need to study the investment statements of the recommended products carefully before you decide to invest.

Appendix A – Assumptions

In preparing your financial strategy, it is necessary to make certain assumptions. These are outlined below.

- Current superannuation rules, taxation legislation and social security rates have been used;
- Where applicable Medicare Levy of 2.0% is included on marginal tax rates;
- Throughout this plan, an inflation rate of 3% per annum has been used, and a variable rate of return on share and managed fund investments, as outlined in the relevant sections. Projections are calculated in today's dollars;
- Superannuation contributions tax of 15% is taken into consideration where relevant;
- There is no tax on the earnings within pension products.
- No consideration has been made for Eligible Termination Payments, foreign sourced income or capital gains or losses, unless stated otherwise;
- Cash flow projections are based on estimated income of your investment portfolio and any other income such as salary. Estimated expenses and tax are also included;

Appendix B – Retirement Capital Projections
